ReFund

RESEARCH REPORT

Bridging the Gap

Cash Flow Challenges in Government-Funded Work

A Survey of Nonprofit Organizations and Tribes

By Winifred Olliff and Yisroel Quint

In This Report

Acknowledgements

The authors would like to thank and acknowledge the 51 nonprofit organizations and Tribes that participated in this survey. Their insights and experiences made this research possible and provide critical visibility into the cash flow challenges associated with reimbursement-based funding.

The findings reflect the perspectives of organizations implementing publicly funded programs across diverse geographies, issue areas, and organizational sizes. To protect confidentiality, all quotes included in this report are drawn from survey respondents and are presented anonymously. In some cases, limited descriptors (such as organization type or geography) are included to provide context.

We extend a special thank you to **Ka'ehu** for their participation in the case study featured in this report, which offers an illustration of these challenges in practice. Mahalo!

INDIGENOUS FUTURES SOCIETY

We would also like to thank and acknowledge ReFund's fiscal sponsor, Indigenous Futures Society, a nonprofit dedicated to igniting Indigenous guardianship in the Sierra Nevada. Their ongoing support and partnership makes ReFund's work possible.

www.indigenousfuturessociety.org

ReFund provides zero-cost recoverable grants so nonprofits can do government-funded work. ReFund is the first to leverage recoverable grants at scale specifically to address challenges with reimbursement-based government funding.

Executive Summary

Government funding supports thousands of nonprofit organizations and Tribes delivering essential programs across the United States. Yet reimbursement-based payment systems require organizations to cover costs upfront and wait weeks or months for repayment, creating significant financial strain. Payment delays are common, with many organizations experiencing delays of three months or more.

This report examines these challenges through a survey of 51 nonprofit organizations and Tribes implementing government-funded programs. Cash flow instability is widespread: 83 percent of respondents that received government funding report challenges related to reimbursement-based funding systems.

83%
experience cash flow challenges related to reimbursement systems

These dynamics extend beyond individual organizations. Because funding must be fronted, access to public dollars is effectively limited to organizations with sufficient unrestricted cash or access to credit. Those without it are either excluded or forced to take on high-interest debt, shaping which communities receive services. At its core, this system embeds inequity by conditioning access to public funding on upfront cash, privileging well-capitalized organizations and excluding those with the greatest need.

Recoverable grants offer a practical, non-extractive solution by providing zero-interest working capital that can be repaid once reimbursements are received, enabling organizations to sustain operations without taking on debt.

Key Findings

1. **Cash flow instability is widespread.**
Government funding is core funding for most organizations, yet 83 percent of respondents report cash challenges related to reimbursement-based systems.

2. **Reimbursement-based funding drives cash flow instability.**
91 percent of respondents cite payment delays, 86 percent cite reimbursement-based funding structures, and 80 percent cite administrative delays.

3. **Organizations absorb the financial and operational risks.**
To bridge liquidity gaps, 74 percent of respondents draw on reserves, 40 percent borrow, and 20 percent rely on personal or leadership loans.

4. **Cash flow instability disrupts program delivery and limits access.**
49 percent of respondents cut programs, 26 percent delayed payments, 23 percent reduced staff, and 17 percent laid off staff.

5. **Borrowing is not a sustainable solution.**
All respondents that borrowed report negative consequences, including increased financial risk, administrative burden, and program changes.

6. **Recoverable grants offer a transformative alternative.**
Respondents consistently identified zero-interest bridge capital as a tool that would enable them to participate in government funding programs.

CONTEXT

Structural Challenges in Government-Funded Work

Government funding plays a critical role in supporting nonprofit organizations and Tribes delivering programs that serve communities across the United States.

It is estimated that **approximately $900 billion** flows annually from government agencies to nonprofit organizations through grants and contracts. These funds support programs addressing environmental protection,[1] community development, education, food systems, and social services. Despite the scale of this funding, the systems used to deliver it often create financial challenges for the organizations responsible for implementing these programs.

Reimbursement-based government funding systems require nonprofit organizations and Tribes to finance public programs upfront, effectively **transferring financial risk** from government institutions to organizations with limited access to capital.

Most government grants and contracts operate through reimbursement-based payment systems. Under these systems, organizations must cover program expenses first and submit documentation to receive reimbursement later.

When reimbursements are delayed by weeks or months, organizations must continue paying staff, contractors, and vendors while waiting for funds to arrive. Prior research by the Urban Institute (2013) highlights the prevalence of this challenge for nonprofit organizations in the United States:[2]

64%
of U.S. nonprofits have reimbursement grants

50%
of U.S. nonprofits reported payment delays

25%
of U.S. nonprofits reported delays of 3+ months

These **structural features** of government funding systems create **persistent liquidity pressures** for nonprofits and Tribes.

Respondent Profile

This survey gathered responses from nonprofit organizations and Tribes that regularly implement government-funded programs and therefore experience the impacts of reimbursement-based funding systems. 51 organizations across the United States participated in the survey, with particularly strong representation from the Western United States.

The respondent pool (n=51) includes organizations led by individuals from historically undercapitalized communities:

- 67 percent identify as Indigenous-led
- 59 percent identify as women-led.
- 28 percent identify as BIPOC-led.
- 10 percent identify as LGBTQIA-led.

These organizations serve Indigenous communities, environmental and climate priorities, education initiatives, food systems programs, and social justice efforts. Environmental and climate organizations (65 percent) and organizations serving Indigenous or Tribal communities (61 percent) were among the most represented groups in the survey.

65%
environmental/climate organizations

61%
serve Indigenous/Tribal communities

Overall, 82 percent of survey respondents meet at least one marginalized leadership definition.

This profile is significant because organizations led by historically undercapitalized communities often have less access to flexible capital.[3]

Government reimbursement systems are not designed for Tribal and grassroots organizations that operate with very limited reserves. Delays in payment force us to scale back services, take personal or organizational risks, or walk away from funding that was meant to help our communities. Fixing cash flow barriers is just as important as awarding the grants themselves.

— A Small Tribal Health and Human Services Organization

The survey also highlights an important gap in existing research. Public audit data typically focuses on organizations receiving more than $750,000 in federal funding. However, according to the National Council of Nonprofits, 92 percent of nonprofit organizations in the United States operate with budgets under $1 million.[4] As a result, the **experiences of smaller organizations are often underrepresented in existing evidence**, making this an invisible issue that needs deeper research.

This is important because organizations with smaller budgets typically have less access to flexible capital, making them more vulnerable to the cash flow challenges associated with reimbursement-based funding.

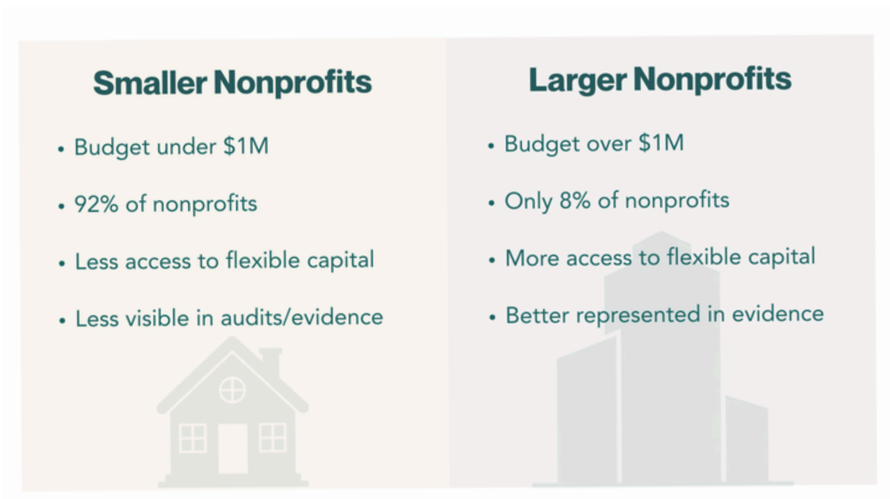


Figure 1: Side-by-side comparison of how smaller and larger nonprofits are represented in existing data

Among survey respondents, **small organizations are well-represented**. 27 percent had annual budgets of less than $250,000, 47 percent less than $1 million, and 82 percent less than $5 million.

Survey Findings

The survey findings reveal that cash flow instability in government-funded work is not an isolated organizational challenge but a **systemic feature** of reimbursement-based funding systems. Together, these findings illustrate how reimbursement-based funding structures create persistent financial pressures that affect program delivery, organizational stability, and participation in government-funded programs.

These findings also point to a **broader gap in the financial infrastructure** that supports government-funded work. While nonprofit organizations and Tribes are expected to implement publicly funded programs, many lack access to the working capital required to manage reimbursement cycles. As a result, organizations must rely on reserves, borrowing, or other stopgap measures to bridge funding gaps.

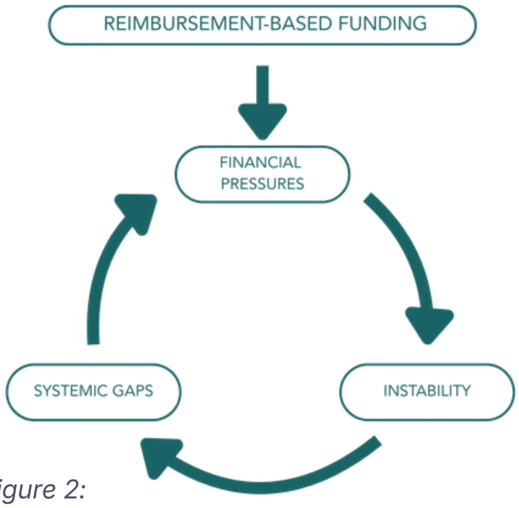


Figure 2:
Illustration of the cash flow instability cycle

Areas for Analysis

1. **Structural drivers** of cash flow instability, including the prevalence of cash flow challenges associated with government funding.
2. **Consequences for organizations** managing cash flow instability, including programmatic, financial, and operational consequences.
3. **Gaps in current systems** that add to pressures and instability, including negative consequences of borrowing or opting out.

Structural Drivers of Cash Flow Instability

The survey findings indicate that cash flow instability among nonprofit organizations and Tribes is **driven by structural features of government funding systems** rather than isolated organizational challenges. Many nonprofit organizations and Tribes rely heavily on government funding to implement programs, yet the majority of respondents have experienced cash flow challenges as a result of reimbursement-based funding structures that require them to cover costs in advance.

Even when funds are delivered on time, participants identify reimbursement-based funding structures as challenging. **Payment delays and administrative delays are routine** across federal, state, and county/local grants. These inefficiencies are often exacerbated during times of greatest need, when governments want to distribute funds to communities quickly.

When combined with administrative delays and complex reimbursement processes, these structures create persistent liquidity pressures for organizations responsible for delivering essential services.

Structural Drivers of Cash Flow Instability

1. **Government funding** from federal, state, and county/local sources **is core revenue** for nonprofit organizations and Tribes.
2. **Cash flow instability is widespread** among organizations that receive government funding.
3. **Common causes of cash flow instability** include reimbursement-based funding structures and delays.

SURVEY FINDINGS

Government Funding Is Core Revenue

For respondents (n=51), government funding is not supplemental but a **core source of revenue and financial sustainability**. Most respondents reported receiving government funding within the past five years, and nearly half rely on it for more than half of their annual budgets. In some cases, government funding makes up 76 percent to 100 percent of their total budgets.

76%
received government funding within the past five years

45%
rely on government funding for more than half of their budget

12%
rely on government funding for 76–100% of their budget

Respondents reported receiving **funding from multiple levels of government**, including **federal, state, and local** agencies. While 74 percent reported federal grants, many also receive state grants (67 percent) and county or local grants (45 percent). Among organizations receiving contracts, the distribution is even more concentrated at the state and local level, with county or local contracts (29 percent) and state contracts (19 percent) reported more frequently than federal contracts (17 percent).

> While federal grants remain an important source of funding, state and county grants and contracts are also significant for nonprofit organizations and Tribes.

Survey findings show that government funding represents a substantial share of revenue for many respondents. Because this funding supports core operations, delays in reimbursement have immediate and material consequences. Organizations must continue delivering programs while absorbing the financial burden of those delays, and when multiple government-funded programs are affected, the strain on cash flow and operations intensifies.

Cash Flow Instability Is Widespread

Among organizations receiving government funding (n=42), **83 percent report experiencing cash flow challenges related to government funding**. These findings indicate that liquidity disruptions are not isolated incidents but a routine feature of reimbursement-based funding systems.

83 percent of Government-Funded Organizations Experienced Cash Flow Challenges

Percent of organizations receiving government funding (n=42).

Figure 3: Bar showing the percentage of organizations experiencing cash flow challenges

Many organizations experience multiple overlapping liquidity disruptions associated with government reimbursement cycles.

> *Many state grants have grant withholding where a portion of each invoice is withheld until the very end of the grant. This is also an issue that impacts cash flow. Also, some grants may allow for advances instead of reimbursements, but sometimes the administrative staff cost for pursuing the advances is not worth it because the process is too time-consuming and burdensome.*
>
> — A Large Environmental Organization in the Western U.S.

This quote highlights how policy or regulatory changes that enable advances can create a misleading context for nonprofit organizations, Tribes, and funders. When advances are available, it can appear that cash flow challenges are less significant than they are. However, burdensome and slow processes for cash advances create similar barriers. Moreover, the complexity of managing these cash flow challenges requires nonprofit and Tribal leaders to invest large amounts of time working with their accounting teams to manage liquidity, reducing their ability to focus on other priorities and increasing stress.

Common Causes of Cash Flow Instability

For an Indigenous-led grassroots organization like ours, the greatest barrier is rarely vision or capacity. It is timing... Recoverable grants would allow us to act when communities need us most, rather than waiting months for reimbursement-based funding or navigating high-risk bridge loans that place undue financial strain on our organization.

— An Indigenous-led Environmental Organization in the Southeastern U.S.

Among those experiencing cash flow challenges related to government funding (n=35), respondents identified several common causes of cash flow instability: 91 percent cited payment delays, 86 percent cited reimbursement-based funding, and 80 percent cited administrative delays. Together, these factors create persistent liquidity pressures for organizations responsible for delivering government-funded programs.

86%

cite **reimbursement-based funding** as a cause of cash flow issues

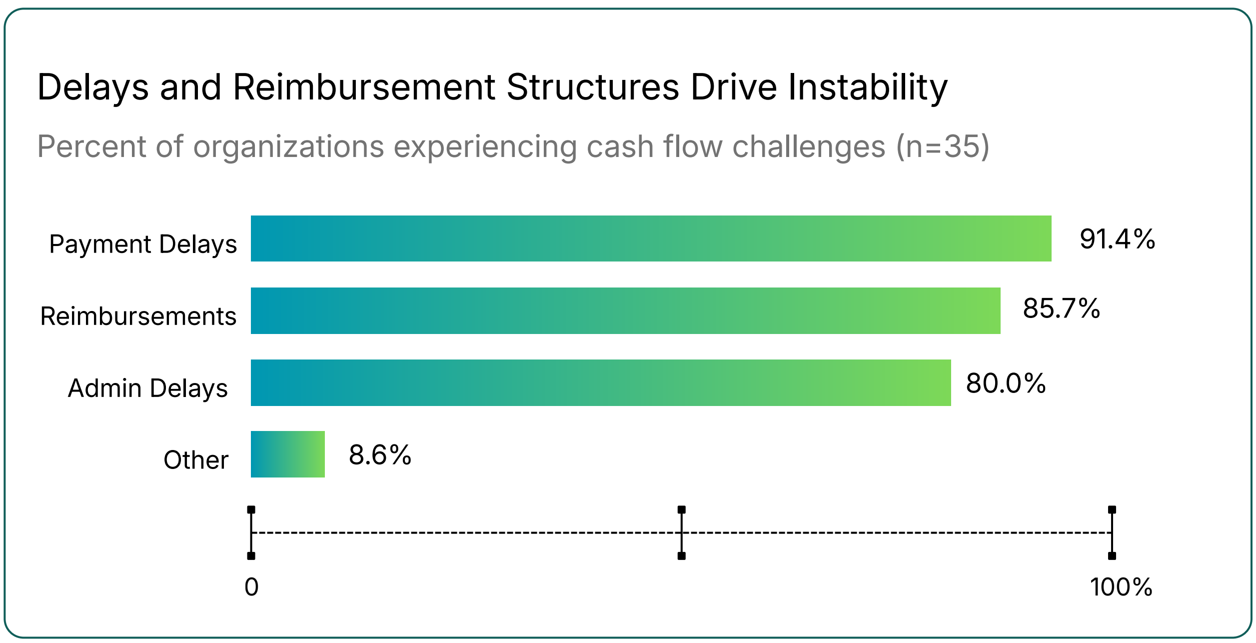


Figure 4: Horizontal bar chart showing the causes of cash flow instability

Consequences for Organizations

The survey findings indicate that reimbursement-based funding structures **shift significant financial risk** from public institutions **onto nonprofit organizations and Tribes** responsible for implementing publicly funded programs. When payments are delayed, organizations must advance program costs while waiting for reimbursement, often with limited reserves or access to flexible capital.

The following findings examine how organizations respond to these liquidity gaps and how those responses **destabilize programs, finances, and operations** over both the short and long term. Organizations without sufficient liquidity to absorb reimbursement delays often face difficult choices, including delaying or cancelling critical programs that serve their communities.

Cash flow gaps associated with a single grant can create lasting consequences, including financial instability and staffing reductions. When organizations manage multiple reimbursement-based grants alongside other financial pressures, these effects can compound. In many cases, organizations are pushed into **increasingly precarious financial positions** as they take on costly debt or draw down limited unrestricted resources to cover reimbursable expenses.

The Consequences:

1. Cash flow challenges **disrupt the delivery of essential programs and services**.
2. Cash challenges put **ongoing financial strain** onto organizations with limited financial resources.
3. Cash flow challenges lead to **long-term disruptions in operations**, including staffing.

SURVEY FINDINGS: CONSEQUENCES

Impact on Program Delivery

Cash flow instability disrupts program delivery. Programs must be delayed, reduced or cancelled due to cash flow challenges. In some cases, organizations decline funding opportunities altogether because they are unable to take on the cash flow burdens associated with reimbursement-based funding structures.

Among organizations experiencing cash flow challenges (n=35):

- **57** percent **delayed work** due to cash flow challenges.
- **54** percent **reduced the scope** of work due to cash flow challenges.
- **29** percent **stopped work** due to cash flow challenges.
- **23** percent **declined funding** due to cash flow challenges.

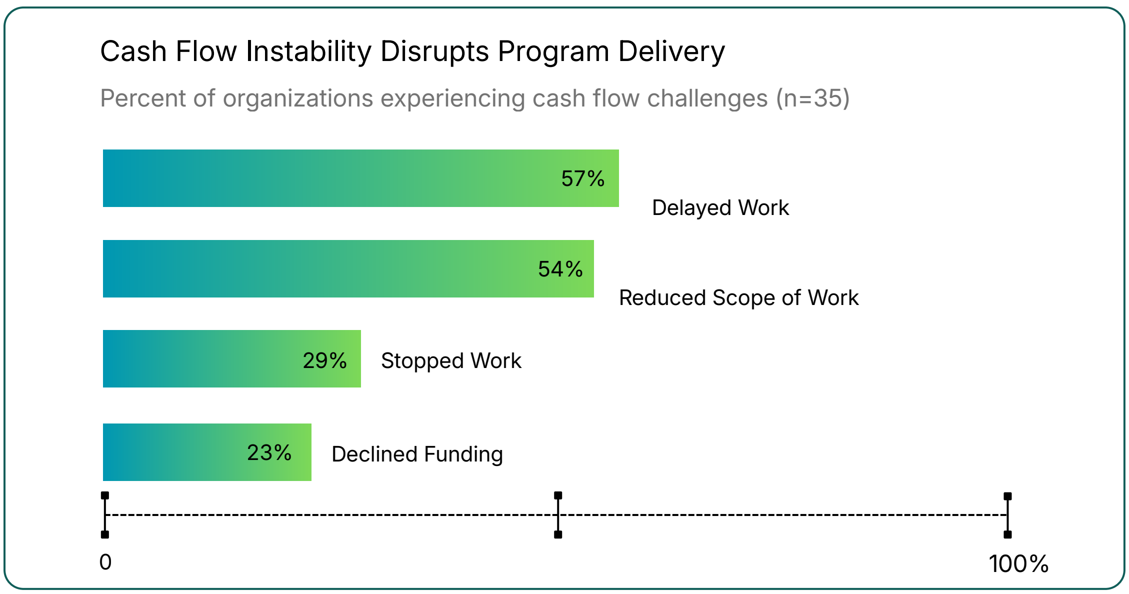


Figure 5: Horizontal bar chart showing the impact of cash flow instability on program delivery

> *We have to be very careful in our planning and management strategies, and sometimes even have to consider whether or not we are able to take on a project that otherwise has large merit and fits well with our mission and the needs of those we serve, because we have no access to a funding source or a cash flow loan that makes the upfront cash flow requirements doable.*
>
> — Mid-sized Organization Serving Indigenous Communities in the Western U.S.

Financial Strain

When reimbursements are delayed, organizations must find a way to cover program expenses while waiting for their funds. These responses **shift liquidity risk from public institutions to nonprofit organizations**.

Among organizations experiencing cash flow challenges (n=35):

- **74** percent drew on **reserves/savings**
- **40** percent took out a **loan or credit**
- **20** percent drew on leaders' **personal finances or credit**

Drawing down reserves **weakens long-term financial resilience**, while borrowing introduces additional administrative and financial burdens. Critically, many organizations cannot use unrestricted resources to invest in capacity because they need to maintain an ample reserve to address cash flow challenges brought on by reimbursement structures. It is not unusual for leaders to use their personal credit or financial resources to keep organizations afloat.

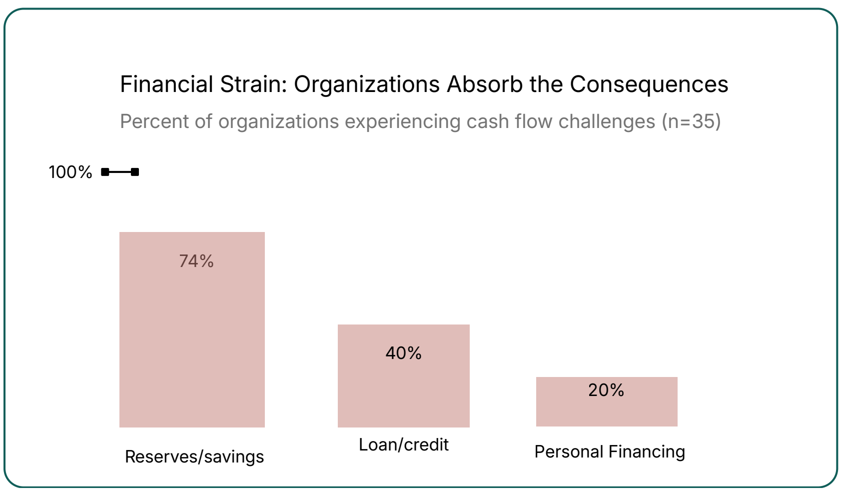


Figure 6: Vertical bar chart showing how organizations respond to cash flow gaps

> *[Our organization] has to pay our subcontractor and hold the debt, which we cannot do, or the subcontractor has to hold that debt until we are reimbursed and can pay them. This puts undue strain on businesses, many of them small, who still have to make payroll every two weeks even if they are not getting paid for the work.*
>
> — A Small Woman-led Environmental Organization

SURVEY FINDINGS: CONSEQUENCES

Operational Impact

Beyond these immediate financial responses, many organizations reported **broader operational responses with long-term consequences**. When organizations delay programs, reduce staff capacity, or postpone payments to vendors, the effects extend beyond a single grant cycle. Over time, these disruptions can weaken organizational stability, reduce program continuity, and limit the ability of nonprofit organizations and Tribes to respond effectively to community needs.

We needed money for land acquisition, had it delayed, and had to dip into other program area funding. We have lost staff and talent as a direct result.

— A Small Indigenous-led Organization in the Southeastern U.S.

Among organizations experiencing cash flow challenges (n=35):

- **49** percent **cut programs**
- **26** percent **delayed payments**
- **23** percent **reduced staff**
- **17** percent **laid off staff**

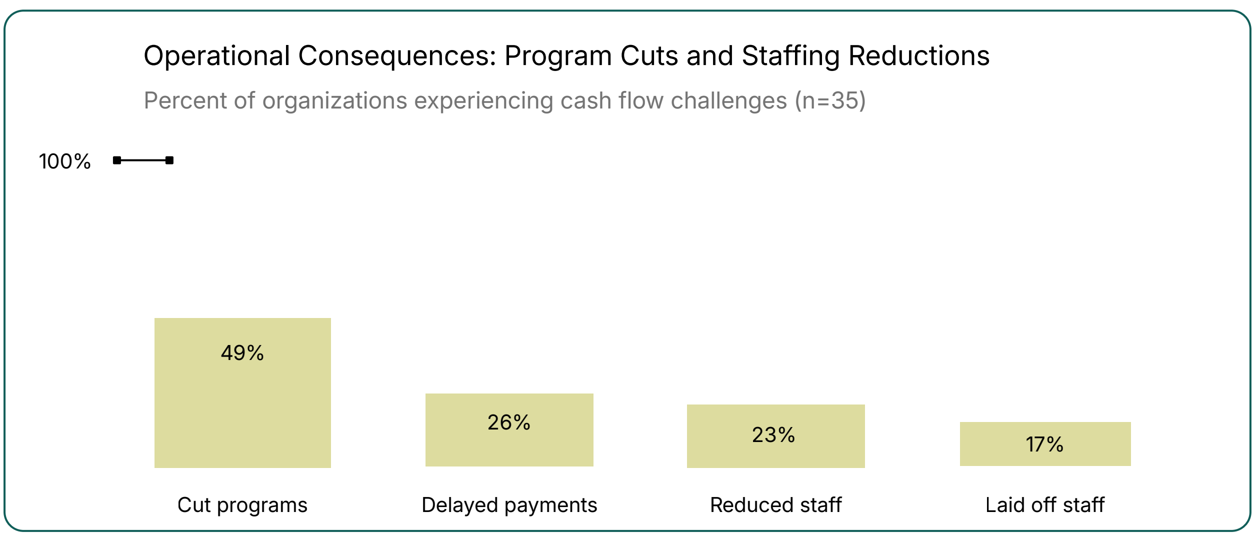


Figure 7: Vertical bar chart showing the operational consequences of cash flow instability

SURVEY FINDINGS

Gaps in the System

The survey findings highlight **broader systemic gaps** in the financing structures that support government-funded work.

When reimbursement systems create liquidity gaps, organizations must rely on **imperfect tools to manage cash flow**. Some attempt to bridge these gaps through borrowing, while others reduce or decline participation in government programs altogether.

These responses can **limit the effectiveness of government funding** and **reduce access to public programs** for communities. Ultimately, less funding flows to and remains in the communities that may need it most.

Organizations Are Opting Out

For some organizations, the financial risk associated with reimbursement-based funding becomes significant enough that they **reduce or decline participation in government programs**.

Organizations already managing one or more government-funded contracts are often unable to take on the additional cash flow burden associated with new awards. Some decline additional funding when it is offered, while others do not apply for new opportunities at all. Still **others are effectively excluded** from government funding altogether.

Among survey respondents, 96 percent of organizations with budgets over $1,000,000 (n=26) received some government funding, while only 33 percent of organizations with budgets under $50,000 (n=6) did. These findings suggest that smaller organizations are less likely to apply for or receive funding, likely due in part to the financial risks associated with reimbursement-based structures. These patterns reflect a structural dynamic in which participation is conditioned on access to upfront capital.

Without access to flexible working capital, organizations must either absorb financial risk or forgo participation altogether.

> 23 percent of organizations experiencing cash flow challenges (n=35) are declining some government funding due to these challenges.
>
> This is significant, but it does not capture the number of organizations that do not receive nor apply for funding at all.

When organizations are shut out or choose to opt out, public funds are directed to those best equipped to manage cash flow rather than those best positioned to deliver programs and serve intended beneficiaries. Reimbursement-based systems shape not only how funding is delivered, but which organizations are able to participate at all.

Respondent Voices

In more than one case we had existing contracts but had to suspend work pending payment, which was running 11 months behind due to audit procedures. In several cases we negotiated a reduction in scope to help manage cash flow. In many cases we have refused funding for projects that we either had already been awarded or would likely have been awarded to avoid cash flow issues.

— A Large Economic Development Organization in the Western U.S.

Numerous opportunities were affected, including funding for participation in collaborative planning and forgoing landscape-scale restoration proposals.

— A Federally Recognized Tribe

We cut back on the federal contract work due to issues with delayed payments, uncertainty of contract funding, and increasing demands on reporting. These reporting demands eventually led us to cancel our contract.

— A Small Indigenous-led Organization in Alaska

We decided not to apply for certain grants due to high initial costs and the potential for loss of funds due to federal uncertainty. We reduced the scope of work on a particular grant due to lack of organizational funds to support the full project before reimbursement occurred. We also delayed work for several months due to federal and state delays in continuing funding approvals and reimbursements.

— A Small Tribal Organization in the Western U.S.

SURVEY FINDINGS: GAPS IN THE SYSTEM

Borrowing Is a Costly Solution

Some organizations attempt to manage reimbursement delays by borrowing. However, survey findings indicate that debt-based solutions frequently introduce additional challenges. Organizations that borrowed (n=11) report negative consequences.

More admin burden:	73 percent
Financial risk/instability:	64 percent
Reduced reserves:	64 percent
Reduced programs:	64 percent

Reputational risk:	27 percent
Reduced capacity:	27 percent
Limited opportunities:	18 percent
Governance strain:	9 percent

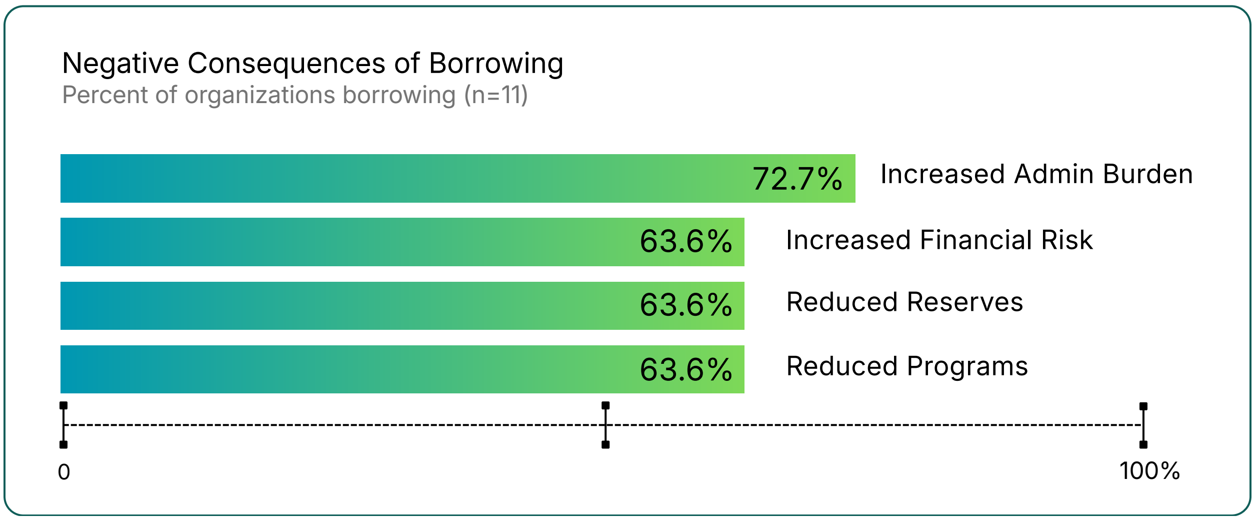


Figure 8: Horizontal bar chart showing the negative consequences of borrowing for nonprofits and Tribes

> *We spent nearly $8,500 last year on interest expenses, so having access to a zero-interest loan would help us immensely. Every single dollar makes a difference, even for organizations like ours that have a budget over $1.5 million, when most of our funds are restricted and nearly 50% of our funding is from government grants that are paid on either a monthly or quarterly reimbursement basis.*
>
> — A Mid-sized Health and Human Services Organization in the Western U.S.

No organization reported borrowing without negative consequences.

PRACTICAL PATH FORWARD

Recoverable Grants

We are so small. I wonder if we might try to access more government funding if we knew that we can access a debt-free bridge loan.

— A Small Indigenous-led Arts Organization in the Western U.S.

Recoverable grants are a philanthropic tool that provide funding with the expectation that funds will be repaid once certain conditions are met. They are already deployed by donor-advised funds and private foundations across a wide range of contexts for many purposes. ReFund applies this tool in a specific way to address the cash flow challenges created by reimbursement-based government funding.

Recoverable grants offer a **practical non-extractive alternative** to traditional financing options. Recoverable grants provide organizations with zero-interest working capital that is repaid once government reimbursements are received. Unlike other low cost alternatives, recoverable grants can be implemented with **limited administrative overhead** and with **limited disruptions** to operational or financial systems.

Recoverable grants **align financing with the cash flow realities** of government-funded programs while avoiding the risks associated with debt. Because recoverable grant funds are repaid once reimbursements are received, philanthropic **capital can be recycled** to support many organizations over time.

Survey respondents consistently described recoverable grants as a tool that could:

- reduce financial precarity
- expand access to government funding
- strengthen long-term planning
- allow organizations to focus on programs rather than cash flow management

Respondent Voices

It would move us from a state of perpetual financial precarity, juggling restrictive grants, toward becoming a more resilient, innovative, and sustainable organization. We could focus our energy on creating maximum impact, not just surviving the next funding cycle.

— Small Indigenous-led Youth Development Organization

It would allow us to implement our projects right away without hesitation. It would allow us to create a continuum of service without taking pauses to replenish funds to front the expenses.

— Small Environmental Organization in Hawai'i

Access to zero-interest financing would give us the ability to access programs that we otherwise would likely pass on to serve our residents.

— Large Economic Development Organization in the Western U.S.

It would be a game-changer for us. We currently spend a tremendous amount of effort, planning time, and worry in order to manage the cash flow needs associated with reimbursable grants and contracts. Removing that barrier would open up many possibilities and allow us to increase our impact and focus our time and effort on the important work rather than on constantly monitoring, assessing, and scrambling to avoid cash flow setbacks.

— *Mid-sized Indigenous-led Organization in the Western U.S.*

Ultimately, access to zero-interest, recoverable capital would strengthen our financial resilience, expand our reach, and enable us to lead proactively rather than reactively, ensuring that frontline communities are not left waiting for justice because of funding mechanics that were never designed with them in mind.

— Small Indigenous-led Organization in the Southeastern U.S.

PRACTICAL PATH FORWARD
Recoverable Grants: Maui Case Study

Reimbursement delays in Maui County created a six-month cash flow gap for Ka'Ehu, an organization implementing a $597,000 county-funded program. Although the funding was secured, delayed payments required the organization to cover approximately $120,000 in operating costs before reimbursement would arrive.

The impacts were immediate. Services were halted, staff hours were reduced, and employees were furloughed or laid off. Organizational momentum stalled during a period of heightened community need. Additional borrowing was not a viable option, as the organization already carried a line of credit and could not take on further financial risk.

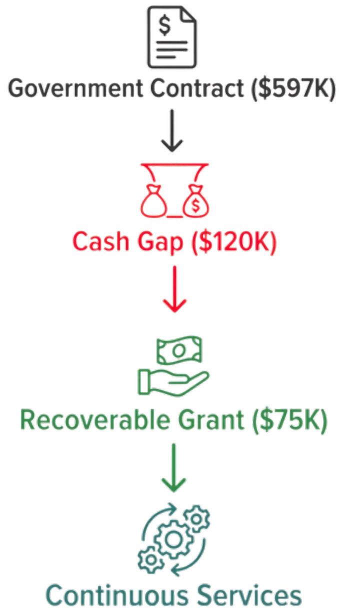


Figure 9: Case study diagram

A $75,000 recoverable grant provided the working capital needed to bridge the delay. ReFund connected Ka'Ehu with a donor-advised fund that could provide this grant. With this support, the organization was able to rehire staff, restore services, and resume operations without disruption. Programs ran continuously, and leadership attention shifted back to service delivery. By avoiding additional borrowing, the organization prevented an estimated $5,000 to $10,000 in interest and fees while preserving limited unrestricted resources. At the same time, the recoverable grant helped stabilize nearly $600,000 in public funding.

> *Without a third-party organization like ReFund, operations can be halted, and those in need don't receive support.*
>
> — Ka'Ehu

This case illustrates a broader structural challenge: even when funding is committed, reimbursement delays shift financial risk onto organizations with limited access to capital. Recoverable grants provide timely, zero-interest working capital that allows services to continue while public funds are delayed.

A $75,000 recoverable grant enabled Ka'Ehu to bridge a $120,000 cash gap, prevent further layoffs, and sustain essential services.

CONCLUSIONS

Scaling Solutions to the Cash Flow Crisis

The findings presented in this report demonstrate that reimbursement-based funding systems create **persistent cash flow instability** for nonprofit organizations and Tribes delivering publicly funded programs. Nonprofit organizations and Tribes must carry the financial burden of publicly funded programs while waiting for reimbursement.

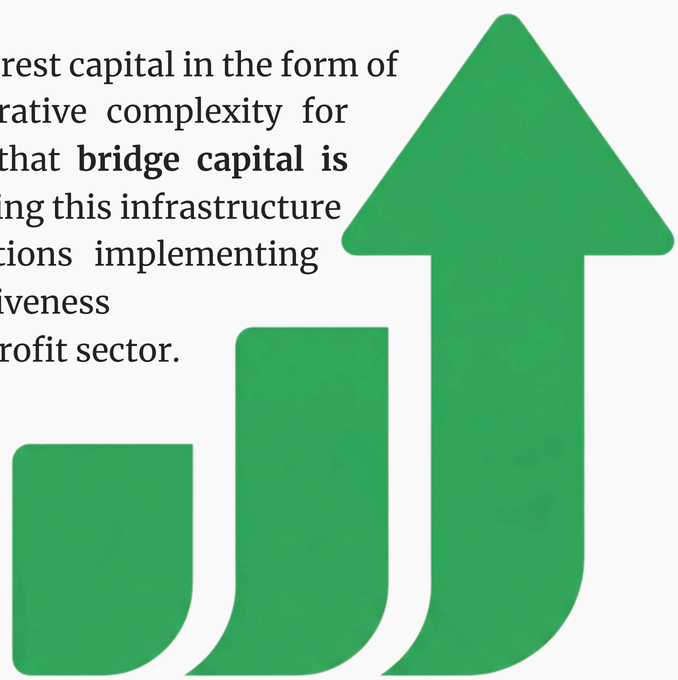
These **challenges are structural** rather than incidental. Payment delays, reimbursement requirements, and administrative processes combine to **shift financial risk onto organizations** with limited access to flexible capital.

Addressing this challenge will require **purpose-built tools** that provide working capital aligned with government reimbursement cycles. While large-scale reform of reimbursement systems would be welcome, it is likely to be slow even if it does occur. Existing financing tools such as loans or lines of credit provide short-term liquidity but frequently introduce additional risks, costs, and administrative burdens.

These findings highlight the need for **dedicated infrastructure** designed to provide working capital aligned with government reimbursement cycles.

Platforms that efficiently deploy zero-interest capital in the form of recoverable grants can reduce administrative complexity for nonprofit organizations while ensuring that **bridge capital is delivered quickly and predictably**. Expanding this infrastructure would stabilize cash flow for organizations implementing public programs and strengthen the effectiveness of government-funded work and the nonprofit sector.

Ultimately, reducing reimbursement-driven cash flow instability will determine whether organizations serving frontline communities can act when their communities need them.



About ReFund

ReFund leverages philanthropic capital to strengthen nonprofits and stabilize public investments.

ReFund provides zero-interest, working capital in the form of recoverable grants to nonprofit organizations and Tribes implementing government-funded programs.

ReFund is designed not only to stabilize cash flow, but to reduce the hidden costs of reimbursement-based funding. By replacing costly borrowing with zero-interest capital, this approach can save nonprofit organizations and Tribes millions of dollars in interest while reducing significant staff time spent managing cash flow gaps and delays.

1. **Funders make a recoverable grant to ReFund.***
2. **ReFund makes recoverable grants to nonprofits with government contracts.**
3. **Nonprofits repay ReFund once reimbursements arrive.**
4. **Funds are available to redeploy or return to funders.**

***Funders also provide an operating grant to ReFund equal to less than 5% of their recoverable grant.**

What ReFund enables for nonprofits and Tribes:

- Access to government funding
- Greater financial resilience
- Increased capacity
- Continuity in programs and services

Cash flow instability is a structural feature of government funding systems. ReFund provides a practical way for philanthropy to build and scale the infrastructure needed for government funding to function effectively.

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